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2027 CYCLE

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CUET UG

Business Studies

Financial Markets

Official Syllabus Unit X · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Business Studies syllabus 2026, the current 2027 baseline, Unit X)	Skills the questions test
Concept of financial market	Concept of Financial Market.	Stating the "creation and exchange of financial assets" definition and the four functions — mobilising savings, pricing, liquidity, lower transaction cost.
Money market	Money Market: Concept, instruments.	Keeping the one-year wall in mind and matching each instrument — call money, T-bills, commercial paper, certificate of deposit, commercial bill — to its user and tenure.
Capital market and its types	Capital market and its types (primary and secondary market).	Splitting the market at the one-year wall and telling the primary market (company receives funds) from the secondary (investor to investor).
Stock exchange	Stock Exchange-Functions, trading procedure.	Listing the six functions and ordering the trading procedure — broker, account, order, execution, settlement, demat.
Depository services and demat	Depository services and demat account.	Naming NSDL and CDSL, explaining the demat account's job, and listing the benefits of electronic holding.
SEBI	Securities and Exchange Board of India (SEBI) – Objectives, Functions.	Classifying SEBI's functions into protective, regulatory and developmental — and matching each action to the right bucket.

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EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. Unit X is classification country — money vs capital, primary vs secondary, protective vs regulatory vs developmental — and almost every question asks you to place an item in the right box.

What a Financial Market Is

Some people have money they are not using today; others need money for machines, stock or expansion. The financial market is the meeting ground — the place where **financial assets** (shares, debentures, bills, deposits) are created, bought and sold, so that savings flow into the hands of those who will put them to work.

- **Definition:** a financial market is the market for the **creation and exchange of financial assets** — it connects savers with those who need funds.
- **The assets:** shares, debentures, bonds, treasury bills, commercial paper — paper claims on money, rather than money itself.

The functions of a financial market

- **Mobilises savings to the best uses:** household savings flow to firms that will use them productively — the market is the pump between them.
- **Helps price the assets:** constant buying and selling keeps prices forming continuously — buyers and sellers discover fair values together.
- **Provides liquidity:** an investor can sell an asset and walk away with cash whenever needed — no one is trapped.
- **Lowers the cost of transactions:** standardised instruments, ready buyers and sellers, and one meeting place — finding and dealing becomes cheap.

The two halves of the market

- **Money market:** the market for **short-term funds — up to one year** — where banks, governments and big firms manage their cash for the near term.
- **Capital market:** the market for **long-term funds — more than one year** — where firms raise share capital and loans for plants, machines and growth.
- **The wall between them: one year**. Tenure up to twelve months is money market territory; longer is capital market territory.

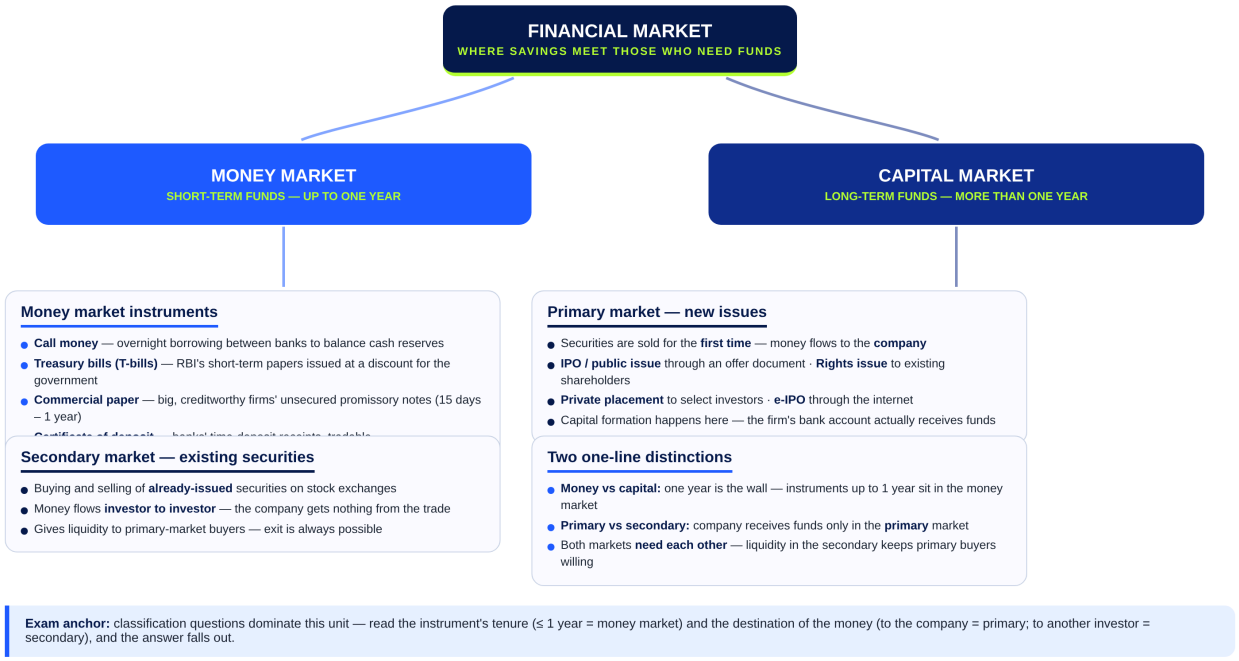


Figure 1: Figure 1 — The financial market map: the one-year wall dividing money from capital market, and the company-receives test dividing primary from secondary.

The Money Market — Instruments Up to One Year

The money market is not a building but a web of telephone and electronic dealing among banks, the RBI, governments and large firms — all borrowing and lending for days or months. Its instruments share one feature: **maturity of a year or less**.

Instrument	What it is	Who uses it
Call money	Overnight (or up to a fortnight) borrowing between banks to balance their cash reserves	Banks
Treasury bills	Short-term papers issued by the RBI on behalf of the government — sold at a **discount** and redeemed at face value	Government + investors
Commercial paper	Unsecured promissory notes of large, highly creditworthy firms — 15 days to 1 year	Big firms
Certificate of deposit	Tradable time-deposit receipts issued by banks against money deposited for a fixed term	Banks + depositors

Instrument	What it is	Who uses it
Commercial bill	A bill of exchange arising from goods sold on credit — can be **discounted** with a bank before maturity	Traders + banks

- **The discount trick to remember:** treasury bills are **sold below face value and redeemed at face value** — the gap is the buyer's return. A ₹100 T-bill bought at ₹95 returns ₹5 at maturity.

The Capital Market — Funds Beyond One Year

The capital market raises money for the long haul — shares, debentures, bonds — and splits into two doors that questions never tire of comparing.

Primary market — the door for new issues

- **Meaning:** the market where securities are sold **for the first time** — the company issues and the **company receives the money**.
- **Public issue (IPO):** shares offered to the general public through a prospectus.
- **Rights issue:** new shares offered **first to existing shareholders** in proportion to their holding.
- **Private placement:** securities sold to a **select group** of institutional investors instead of the public.
- **e-IPO:** issuing securities **through the internet** — electronic public offering.

Secondary market — the door for existing securities

- **Meaning:** the market where **already-issued** securities are bought and sold — the stock exchanges.
- **The money's path:** from **one investor to another** — the company that issued the shares receives **nothing** from a secondary trade.
- **Why it matters:** the secondary market gives primary-market buyers the confidence of an exit — liquidity that keeps new issues sellable.

Point	Primary market	Secondary market
What is sold	New securities — first issue	Existing securities
Who receives the money	The **company**	The **selling investor** — company gets nothing
Typical event	IPO, rights issue, private placement	Daily trading on stock exchanges
Effect on the firm	Capital is created — funds arrive	Only ownership changes hands
Price formation	Set by the issue's terms	Formed continuously by demand and supply

The Stock Exchange — Functions and Trading

The stock exchange is the organised heart of the secondary market — a platform where listed securities trade under agreed rules, watched and recorded.

The functions of a stock exchange

- **Provides liquidity:** holders can convert shares into cash at any trading moment.
- **Prices securities continuously:** buying and selling forms market prices every minute — fair, visible, recorded.
- **Ensures safety of transactions:** membership rules, listing conditions and settlement guarantees keep trading honest.
- **Contributes to economic growth:** savings flow into capital formation — the exchange is the artery between savers and industry.
- **Spreads the equity cult:** more households learn to own shares and share in corporate growth.
- **Provides scope for speculation:** limited, healthy speculation adds liquidity — the exchange channels it rather than breeds it.

The trading procedure — from order to demat

- **Step 1 — Choose a registered broker:** a member of the exchange (or a broker's online platform) executes trades on your behalf.
- **Step 2 — Open a demat account:** securities now exist only electronically — the demat account holds them, with PAN as identity.
- **Step 3 — Place the order:** name the security, quantity and price limit — the order goes to the exchange.
- **Step 4 — Execution:** matching engines pair your buy with someone's sell; the trade is confirmed at the struck price.
- **Step 5 — Settlement:** money and shares exchange hands — on a **T+1** basis, one day after the transaction.
- **Step 6 — Delivery into demat:** the bought shares appear in your demat account; the cycle is complete and recorded.

Depository Services and the Demat Account

Paper share certificates faded away because they could be lost, forged and torn. Depository services replaced the paper with **electronic holding** — the way a bank holds your money so you need not carry it.

- **Depository:** an institution that **holds securities in electronic form** on behalf of investors — India has two, **NSDL** and **CDSL**.
- **Demat account:** the investor's own account, opened **through a Depository Participant (DP)** — a broker or bank acting as the depository's agent; all bought and sold securities land here.
- **Benefits:** no fake or forged certificates; instant, cheap transfer; no bad deliveries; safety from loss and theft; lower stamp duty; faster settlement overall.

SEBI — The Market's Watchdog

A market that runs on trust needs a referee. The **Securities and Exchange Board of India (SEBI)** is the statutory regulator of India's securities market — set up to keep it fair, honest and investor-friendly.

Objectives

- **Protect investors** from fraud, manipulation and unfair practices.
- **Regulate the securities market** — its intermediaries, its issues, its conduct.
- **Prevent malpractices** — price rigging, insider trading, misleading statements — and **develop** the market into a healthy, modern one.

Functions — the three buckets

- **Protective functions:** stop fraudulent and unfair practices; check price rigging; ban misleading statements and company advertisements that deceive; control **insider trading**.
- **Regulatory functions:** register and regulate brokers, sub-brokers, agents and other intermediaries; regulate takeover bids; conduct inquiries, audits and inspections; frame rules for the conduct of business.
- **Developmental functions:** educate investors; train intermediaries; promote fair practices and research; make the market modern and flexible.

Bucket	Recognisable actions
Protective	Checking price rigging → banning misleading ads → controlling insider trading
Regulatory	Registering brokers → regulating takeovers → conducting inquiries and audits
Developmental	Investor education → training intermediaries → promoting fair practices

Key Facts & Terms Cheatsheet

KEY FACTS & TERMS CHEATSHEET — UNIT X (FINANCIAL MARKETS)

Term / fact	What it means	Example / number
Financial market	Market for creation and exchange of financial assets	Links savers to fund-seekers
Functions (4)	Mobilise savings, price assets, liquidity, low transaction cost	Savings become capital

Term / fact	What it means	Example / number
Money market	Short-term funds — tenure up to 1 year	Call money, T-bills, CP, CDs, bills
Call money	Overnight inter-bank borrowing to balance reserves	Banks only
Treasury bills	Government papers issued at a discount, redeemed at face value	Buy ₹95, receive ₹100
Commercial paper	Unsecured promissory note of a big creditworthy firm, 15 days–1 year	Firms borrow directly
Capital market	Long-term funds — over 1 year	Shares, debentures, bonds
Primary market	First-time issues — company receives the money	IPO, rights, private placement, e-IPO
Secondary market	Existing securities traded — investor to investor	Company gets nothing
Stock exchange functions (6)	Liquidity, pricing, safety, growth, equity cult, controlled speculation	Secondary market's home
Trading procedure	Broker → demat + PAN → order → execution → settlement → demat	Settled T+1
Depository	Holds securities in electronic form	NSDL and CDSL
Demat account	Investor's e-holding account via a DP	No paper, no forgery
SEBI objectives	Protect investors, regulate market, prevent malpractice	India's market watchdog
SEBI protective	Stop fraud, price rigging, misleading ads, insider trading	Policing actions
SEBI regulatory	Register intermediaries, regulate takeovers, audits	Rule-making actions
SEBI developmental	Investor education, training, fair practices	Market-building actions

Carry everywhere: the **one-year wall** splits money from capital market; the **company-receives test** splits primary from secondary; SEBI's three buckets are protective, regulatory, developmental.

Common Errors and Special Cases

COMMON ERRORS & SPECIAL CASES

The mistake students make	What is right	The why / the trap
"Treasury bills pay interest"	T-bills are issued **at a discount** and redeemed at face value — the discount is the return	No coupon exists; ₹95 in, ₹100 out is the whole yield.
"Secondary market trades send money to the company"	Secondary trades move money **between investors** — the company received its funds long ago	The company-receives test is the fastest classifier in this unit.
"Call money is firms borrowing from banks"	Call money is **banks lending to each other overnight** to balance reserves	Commercial paper is the instrument firms themselves issue.
"Primary and secondary markets are alternatives to choose between"	They are **linked halves** — secondary liquidity is what makes primary issues sellable	Without an exit, no one enters.
"SEBI guarantees that share prices will rise"	SEBI **regulates** the market — it polices fairness, not direction	Prices still follow demand, supply and the economy; SEBI polices the conduct.
"Demat account and depository are the same"	The **depository** (NSDL/CDSL) holds securities; the **demat account** is the investor's account through a DP	Bank vs your savings account — same relationship.

- **Spot the pattern:** classification lives on two tests — **tenure** (one-year wall) and **destination of money** (company vs investor). Apply the test, name the box.
- **One special case:** a question describing "shares offered first to existing shareholders in proportion to their holding" names a **rights issue** — a primary-market method.

The Whole Chapter on One Page

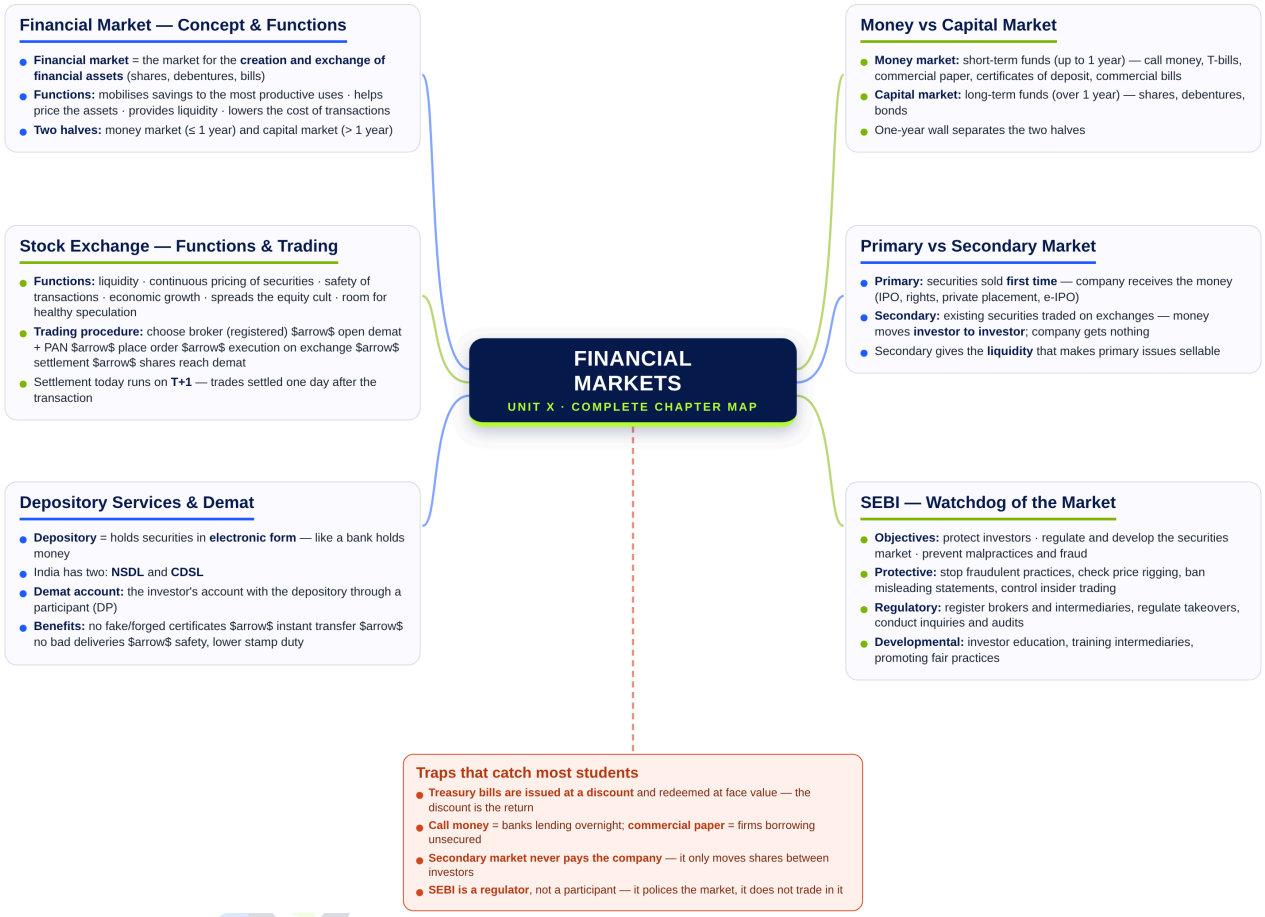


Figure 2: Figure 2 — Whole chapter on one page: the financial market and its functions, money vs capital instruments, primary vs secondary, stock exchange functions and trading, depository services, SEBI's three buckets, and the four traps that catch most students.

Practice Questions

Q1. A financial market is best defined as the market for:

(A) buying and selling goods and services
(B) the creation and exchange of financial assets
(C) hiring workers for banks
(D) converting foreign currency

Q2. Which instrument belongs to the money market?

(A) shares of a listed company
(B) treasury bills with 91-day maturity
(C) 10-year government bonds
(D) debentures of a manufacturing firm

Q3. The government's short-term borrowing instrument, issued at a discount and redeemed at face value, is the:

(A) commercial paper
(B) certificate of deposit
(C) treasury bill
(D) commercial bill

Q4. An unsecured promissory note issued by a large, creditworthy company for 15 days to one year is a:

(A) certificate of deposit
(B) commercial paper
(C) call money
(D) treasury bill

Q5. In a rights issue, new shares are offered:

(A) to the general public through a prospectus
(B) first to existing shareholders in proportion to their holding
(C) only to foreign investors
(D) through private placement to institutions

Q6. When an investor sells shares of a company on a stock exchange, the money from the sale goes to:

(A) the company that issued the shares
(B) the depository
(C) SEBI
(D) the investor who sold the shares

Q7. Which function of a stock exchange is served when an investor converts holdings into cash at any trading moment?

(A) spreading the equity cult
(B) providing liquidity
(C) ensuring safety of transactions
(D) pricing securities

Q8. The institution that holds securities in electronic form on behalf of investors is the:

(A) stock exchange
(B) commercial bank
(C) depository — NSDL or CDSL
(D) merchant bank

Q9. SEBI conducting an inquiry into a broker's books and cancelling the registration of intermediaries who broke rules is a:

(A) protective function
(B) regulatory function
(C) developmental function
(D) promotional function

Q10. SEBI running investor-education campaigns and training market intermediaries belongs to its:

(A) protective functions
(B) regulatory functions
(C) developmental functions
(D) executive functions

Solutions

Sol. Q1. A financial market deals in **financial assets** — shares, debentures, bills — creating them in the primary segment and exchanging them in the secondary. Goods, hiring and currency belong to other markets.

Answer: (B)

Sol. Q2. The **one-year wall** decides: 91-day treasury bills sit safely inside the money market. Shares, bonds and debentures are long-term capital-market instruments.

Answer: (B)

Sol. Q3. Treasury bills — issued by the RBI for the government — carry **no interest coupon**: they are sold below face value and redeemed at face value, the discount being the return.

Answer: (C)

Sol. Q4. The **commercial paper** is the big-firm instrument: unsecured, creditworthy issuers only, 15 days to 1 year. Certificates of deposit come from banks; call money is inter-bank.

Answer: (B)

Sol. Q5. A **rights issue** offers new shares **first to existing shareholders** in proportion to their holding — their 'right' to keep their share of ownership. The public offer is the IPO.

Answer: (B)

Sol. Q6. Apply the company-receives test: a secondary-market trade moves money **from the buyer to the selling investor**. The company got its money when the shares were first issued.

Answer: (D)

Sol. Q7. Instant conversion of holdings into cash is **liquidity** — the function that makes investors willing to hold securities at all.

Answer: (B)

Sol. Q8. A **depository** — NSDL or CDSL in India — holds securities electronically; the investor reaches it through a demat account opened with a Depository Participant.

Answer: (C)

Sol. Q9. Registering intermediaries, inspecting books and cancelling registrations are **regulatory** functions — rule-framing and rule-enforcing. Protecting investors from fraud is the protective bucket; education is developmental.

Answer: (B)

Sol. Q10. Investor education, intermediary training and promoting fair practices **build the market** — the **developmental** bucket of SEBI's functions.

Answer: (C)

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